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Strengthening capital markets in Bosnia and Herzegovina

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Abstract

Capital markets are a critical yet underutilised lever for strengthening private sector development in Bosnia and Herzegovina. In an economy where access to finance remains a key constraint, particularly for small and medium-sized enterprises (SMEs), developing market-based sources of finance offers an important opportunity to diversify funding, support innovation and enable firms to scale. However, capital markets in Bosnia and Herzegovina remain shallow and fragmented, limiting their ability to effectively serve the needs of a modern, growth-oriented private sector.

This policy note, developed under the EU for Private Sector Development in Bosnia and Herzegovina, examines the current state of capital markets in Bosnia and Herzegovina, highlighting key structural challenges in leveraging them to enhance businesses' access to finance. Drawing on OECD analysis and stakeholder consultations, it identifies priority areas for reform and outlines several policy recommendations to support integrated, inclusive and functional capital markets.

Keywords: private sector development; economic convergence; capital markets

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Contact

Umur GÖKÇE (✉ umur.gokce@oecd.org).

Stephanie LIZZO (✉ stephanie.lizzo@oecd.org).

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Abbreviations and acronyms

AIF	Alternative investment fund
AIFMD	Alternative Investment Fund Managers Directive
BAM	Bosnia and Herzegovina convertible mark
BLSE	Banja Luka Stock Exchange
CBAM	Carbon Border Adjustment Mechanism
CO ₂	Carbon dioxide
EET	Exempt-Exempt-Taxed
EMDE	Emerging market and developing economies
ESG	Environmental, social and governance
EU	European Union
EUR	Euro
FBiH	Federation of Bosnia and Herzegovina
G20	Group of Twenty
GBS	Green Bond Standard
GDP	Gross domestic product
IMF	International Monetary Fund
IPO	Initial public offering
MTF	Multilateral trading facilities
NPLs	Non-performing loans
OECD	Organisation for Economic Co-operation and Development
RS	Republika Srpska
SASE	Sarajevo Stock Exchange
SMEs	Small and medium-sized enterprises
USD	U.S. dollar
VC	Venture capital
WB6	Western Balkan 6

Executive summary

Creating conditions for businesses to use capital markets is crucial for Bosnia and Herzegovina, where the bank-dominated financial system does not adequately meet the financing needs of the private sector. Banks account for more than 90% of total financial sector assets, while 57% of firms identify access to finance as a key barrier to scaling up. Domestic credit to the private sector has declined as a share of GDP, from around 60% in 2014 to 48% in 2024, well below the EU average of 76%. This reflects an economy growing faster than with which its financial system can keep pace. Household deposits, meanwhile, are reaching record levels, pointing to a substantial pool of domestic savings that a more active capital market could channel toward productive investment.

Against this backdrop, developing deeper and more dynamic capital markets is not only a financial sector objective but a prerequisite for the private sector, and small and medium-sized enterprises (SMEs) in particular, to invest, grow and compete effectively. As Bosnia and Herzegovina advances its EU integration ambitions, the development of capital markets also carries broader strategic significance: deeper, better-regulated markets will be essential for the economy to integrate effectively into the EU Single Market, meet the standards expected of acceding economies, and attract the investment needed to sustain long-term competitiveness.

Capital markets in Bosnia and Herzegovina remain underdeveloped, shaped by a split institutional architecture that constrains market depth and integration.

Public equity markets are split across two entity-level stock exchanges, each characterised by low capitalisation, limited liquidity and a shrinking active issuer base. Market capitalisation stood at around 22% of GDP in FBiH and 30.6% in RS in 2024, with 565 total listings that largely reflect the legacy of mass privatisation rather than active capital-raising activity. Delistings continue to outpace new listings, and a substantial proportion of listed firms are not actively traded. The planned establishment of a third exchange in Brčko District risks further fragmenting an already small and illiquid market unless accompanied by robust co-ordination and harmonisation measures.

Corporate bond markets are similarly shallow and concentrated, while the institutional investor base remains minimal.

Issuance is largely confined to repeat issuers, primarily non-bank financial institutions, with relatively small transaction sizes. Structural barriers, including prospectus obligations, minimum subscription thresholds and a narrow broker base, limit market access. The absence of a developed institutional investor base, particularly voluntary pension funds, limits the development of domestic bond markets. In fact, voluntary pension frameworks have existed since 2017 in both entities, but development has been highly uneven: while RS has recorded consistent growth, reaching nearly 38 000 members and BAM 53 million (EUR 27.1 million) in assets by 2025, no voluntary pension fund has yet become operational in FBiH.

Household participation is held back by a legacy of mistrust, limited financial literacy and income pressures.

Public mistrust in the financial sector among citizens also contributes to low participation in and liquidity of capital markets. As part of post-war privatisation programmes, citizens received shares in former state-owned enterprises, but many experienced losses or saw little tangible benefit from ownership. Significant allegations and ongoing investigations concerning capital market manipulation in the FBiH have further eroded trust. Both entities offer various fiscal incentives to foster citizens' participation, but limited financial literacy and low disposable income—driven in part by high social security contributions (17% of gross salary in the FBiH and 18.5% in RS, compared to an OECD average of 7.2%)—reduce voluntary investment, including in pension schemes.

Private equity and early-stage financing ecosystems are virtually non-existent, leaving high-growth firms without access to the risk capital they need.

Venture capital investment amounted to just EUR 2.6 million in 2024, well below peer economies, with no investments recorded in 2025. Angel investing has yet to emerge, while the legal frameworks governing private equity remain fragmented across entities and underdeveloped in the FBiH. Bosnia and Herzegovina's large diaspora—over 1.6 million people abroad, representing around 34% of the population—remains an underutilised source of investment capital, particularly for private equity and venture financing.

Addressing these structural weaknesses requires co-ordinated reform across regulatory, institutional and market dimensions.

Priority actions include:

- **Harmonise stock exchange frameworks** and ensure structured co-ordination around new market infrastructure, including the planned Brčko District exchange, to consolidate liquidity and improve conditions for issuers and investors across entities.
- **Simplify corporate bond issuance procedures**, especially for SMEs, and expand structured advisory and capacity-building services to improve firm-level readiness to access market-based financing.
- **Develop the institutional investor base** by resolving regulatory barriers preventing voluntary pension funds from becoming operational in the FBiH, and reviewing and strengthening existing incentives in RS, including broadening auto-enrolment beyond the public sector.
- **Broaden retail participation** through tax-advantaged investment products, expanded sovereign retail debt programmes building on RS's 2025 savings bond experience, and sustained efforts to restore investor confidence and improve financial literacy.
- **Develop the private equity ecosystem** through regulatory reform, market-compatible financial incentives for angel investment, and partnerships with international donors to address the significant gap in early-stage and growth financing.

1 The role of capital markets in private sector development

Capital markets support economic growth by enabling businesses to access the necessary funding for investment, expansion and innovation. By mobilising savings and channelling them into productive activities, they provide companies with long-term financing instruments that facilitate structural transformation and underpin sustainable development.

Their contribution to economic growth is particularly evident in the financing of innovation, which in turn drives competitiveness (OECD, 2025^[1]). Developing and commercialising new technologies requires substantial upfront investment, often characterised by high risk and long time horizons that exceed the appetite of traditional bank lending. In contrast, capital markets can mobilise large-scale funding from a broad and diverse investor base, making them especially well-suited to support ambitious, innovation-driven ventures.

Beyond innovation, well-developed capital markets also enhance the resilience of firms and the broader economy. In the aftermath of the 2008 financial crisis, access to capital market-based financing enabled many businesses to withstand temporary shocks and meet their obligations to employees, creditors and suppliers. A similar dynamic emerged during the COVID-19 pandemic, when capital markets played a critical role in alleviating liquidity pressures and minimising defaults and bankruptcies. In 2020, global corporate bond issuance reached a record USD 2.9 trillion; moreover, during the third quarter, public equity markets experienced a surge in capital-raising activity compared to the previous five-year average (OECD, 2021^[2]). These episodes underscore the stabilising function of capital markets during periods of systemic stress.

The capital market landscape can be broadly categorised into several key segments and financing instruments (outlined in Table 1).

Table 1. Overview of capital market instruments

Public equity		
Listed securities	Common and preferred stocks admitted to trading on regulated exchanges. These require rigorous adherence to international financial reporting standards (IFRS/GAAP).	
	Common stock Standard equity ownership in a publicly traded company that provides voting rights and residual claim on profits. Common shareholders participate in company growth through price appreciation and dividends but are last in priority in liquidation.	Preferred stock Hybrid equity instrument that typically pays a fixed dividend and has priority over common stock in dividend payments and liquidation. Preferred shareholders usually do not have voting rights but receive more stable income characteristics
Private equity		
Institutional private equity	Large-scale capital pools managed by firms to acquire significant stakes in private companies, often involving operational restructuring or leveraged buyouts.	
Venture capital (VC)	Institutional seed-to-late-stage financing provided to high-potential startups. VC firms typically invest pooled third-party funds in exchange for minority equity.	

Angel investing	Early-stage capital provided by high-net-worth "accredited investors" using personal funds. This often bridges the gap between pre-seed funding and formal institutional VC rounds.
Corporate debt	
Corporate bonds	Fixed-income securities issued under a bond indenture, representing a contractual debt obligation with specified maturity and coupon rates.
Sustainable finance	Thematic debt instruments (green, social or sustainability-linked bonds) where proceeds are contractually earmarked for projects with verified ESG impacts
Private credit	Institutional debt capital provided by non-bank investors to private companies through directly negotiated loan agreements, typically involving illiquid, non-traded instruments structured outside public debt markets.
Syndicated loans	Large corporate loan facilities arranged by one or more lead banks and distributed among a group of participating lenders to finance sizeable transactions such as acquisitions, refinancing, or capital expenditures.

Source: Adapted from (OECD, 2024^[3]; OECD, 2015^[4]).

Public equity markets have expanded markedly in recent years. Between 2017 and 2023, global market capitalisation increased from USD 84 trillion to USD 117 trillion, while the number of listed companies rose from approximately 41 000 to over 42 500 (OECD, n.d.^[5]). Moreover, the same period witnessed the expansion of dedicated growth market segments, which are typically used by smaller and early-stage enterprises. Between 2019 and 2023, initial public offerings (IPOs) on growth markets significantly outpaced those on main markets (OECD, 2025^[6]). Ownership structures also vary: while the public sector holds, on average, around 10% of listed equity globally, this share rises to approximately 31% in emerging market and developing economies (EMDEs). Conversely, institutional investors account for roughly 47% of equity ownership globally but only around 12% in EMDEs (OECD, 2025^[6]).

Debt markets have experienced similarly pronounced expansion. Since the 2008 financial crisis, corporate bond markets have grown substantially, with total outstanding amounts increasing 2.5-fold in real terms between 2000 and 2024, from USD 13.6 trillion to USD 35 trillion (OECD, 2025^[7]). A notable part of this growth comes from increased issuance by non-financial issuers, whose debt has nearly doubled and currently stands at USD 15.7 trillion. At the same time, issuance has become increasingly concentrated at the lower end of the credit rating scale, with more than half of all investment-grade bonds issued since 2014 rated BBB (i.e. the lowest investment grade rating) (OECD, 2024^[8]).

Since 2022, governments have increased programmes that allow retail investors to buy government bonds directly. Through such initiatives, ordinary people invest their own savings in sovereign debt, making it easier to understand how bonds work and how they are traded. Between 2021 and 2024, the share of domestic government bonds held by households in OECD economies roughly doubled, rising from about 5 % to 11 % of total outstanding sovereign debt (OECD, 2025^[7]). By lowering informational and operational barriers to bond investing, retail sovereign bond programmes have strengthened investor confidence and financial literacy, thereby supporting broader retail participation in capital markets (OECD, 2025^[7]).

Complementing the public equity and corporate debt markets, private equity, specifically venture capital (VC), provides important alternative sources of financing. These instruments supply risk capital to firms that are too young or too risky to access traditional bank lending, especially during early and growth stages. By absorbing higher levels of risk, they enable firms with high growth potential to pursue innovation, scale operations and implement longer-term growth strategies. Indeed, over the past 15 years, VC markets have grown significantly and have become a key source of non-debt financing for start-ups (OECD, 2025^[9]).

Angel investment can also help to address early-stage financing gaps. Business angels typically invest in very early-stage firms that may not yet meet the scale or risk thresholds required for VC funding. Although investment amounts are comparatively modest, often ranging between EUR 25 000 and EUR 500 000, their contribution is crucial in supporting product development, business model testing and the establishment of market credibility for nascent firms (OECD/GWEP, 2025^[10]). Beyond financial capital,

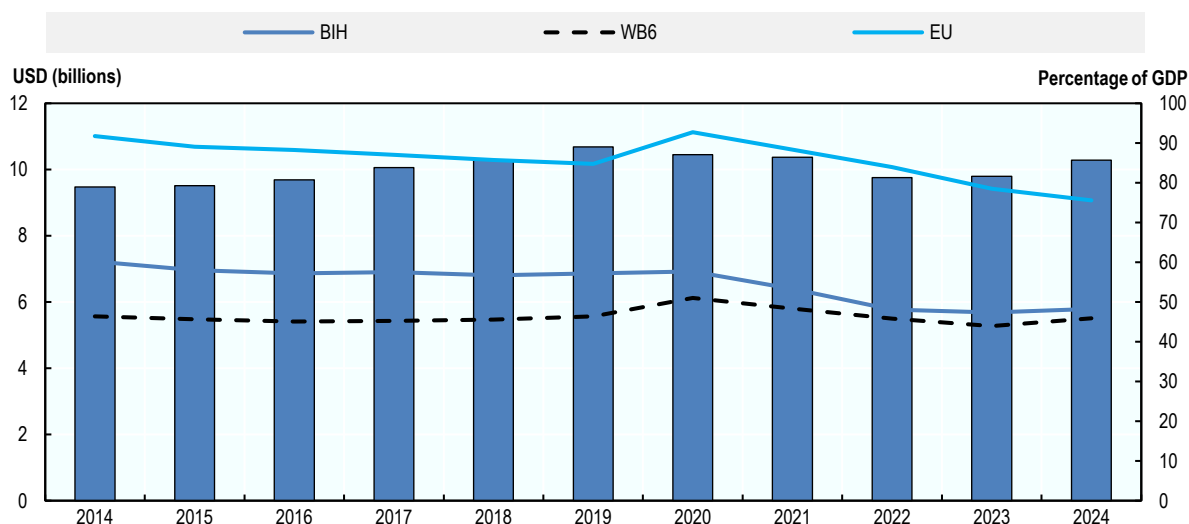
venture capitalists and business angels can generate knowledge spillovers, provide managerial support and facilitate access to professional networks, thereby strengthening broader entrepreneurial ecosystems.

Why are capital markets important for businesses in Bosnia and Herzegovina?

Creating conditions for businesses to use capital markets is crucial for Bosnia and Herzegovina, where the bank-dominated financial system does not adequately meet the financing needs of the private sector, especially small and medium-sized enterprises (SMEs). Banks account for more than 90% of total financial sector assets. However, despite the relative stability and strength of the banking sector, 57% of firms in Bosnia and Herzegovina identified access to finance as a key barrier to scaling up (compared to the regional average of 40%) (RCC, 2023^[11]). Access to credit remains uneven, with smaller and younger firms facing higher barriers and borrowing costs, thereby restricting their capacity to invest, grow and compete effectively in the market.

Over the last decade, domestic credit to the private sector in Bosnia and Herzegovina has grown slightly, rising from approximately USD 9.5 billion (EUR 8.7 billion) in 2014 to USD 10.3 billion (EUR 9.5 billion) in 2024 (Figure 1). However, when expressed as a share of GDP, this credit has declined, falling from around 60% of GDP in 2014 to 48% in 2024, well below the EU average of 76% in 2024. This reflects lending activity not yet keeping pace with economic growth. Bosnia and Herzegovina's GDP grew at an average annual rate of approximately 3% between 2014 and 2024, nearly double the EU average of 1.7%. Credit has therefore continued to expand in volume, but the bank-dominated financial system is not generating financing at a rate sufficient to meet the economy's growing investment needs.

Figure 1. Domestic credit to the private sector in Bosnia and Herzegovina, USD and share of GDP (2014-2024)



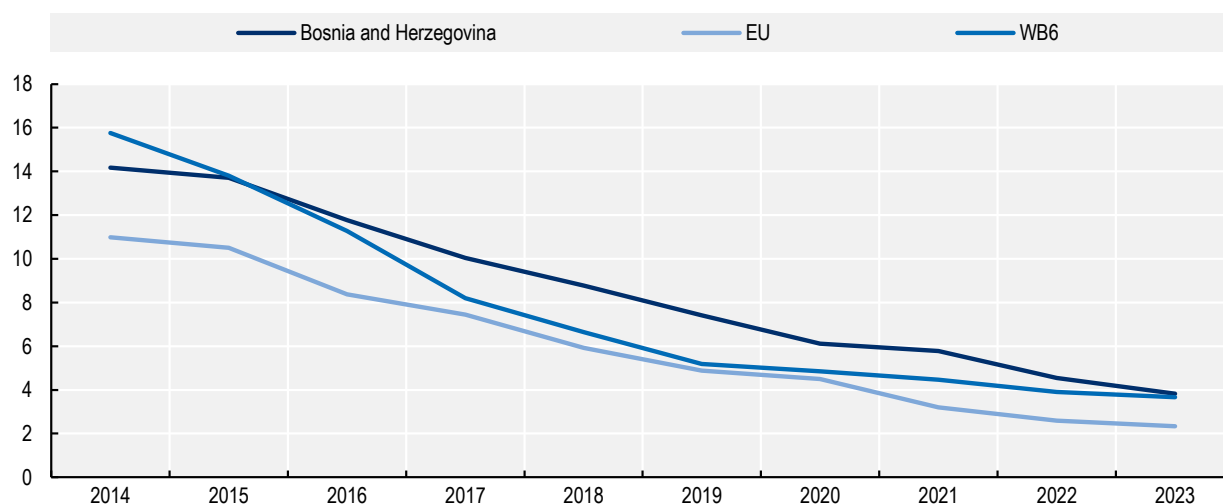
Notes: The left axis corresponds to the bar chart showing domestic credit to the private sector in USD billions; the right axis corresponds to the line charts showing domestic credit to the private sector as a percentage of GDP. WB6 data refers to the unweighted average of all six Western Balkan economies

Sources: (World Bank, 2024^[12]; Eurostat, 2024^[13]).

The slower growth of domestic credit relative to GDP partly reflects Bosnia and Herzegovina's efforts to reduce previously elevated levels of non-performing loans (NPLs). While notable progress has been made in recent years, the NPL ratio in Bosnia and Herzegovina (3.8% in 2023) remains above that of the EU (2.3%) (Figure 2). Maintaining momentum on NPL reduction remains important: elevated ratios can constrain credit supply by weighing on banks' balance sheets and limiting their risk appetite. Over time, this may also affect the broader development of capital markets, as reduced financial intermediation capacity can weaken investor confidence and restrict the financial sector's ability to support diversified financing.

Figure 2. Bank non-performing loans in Bosnia and Herzegovina (2014-2023)

Percentage of total outstanding loans

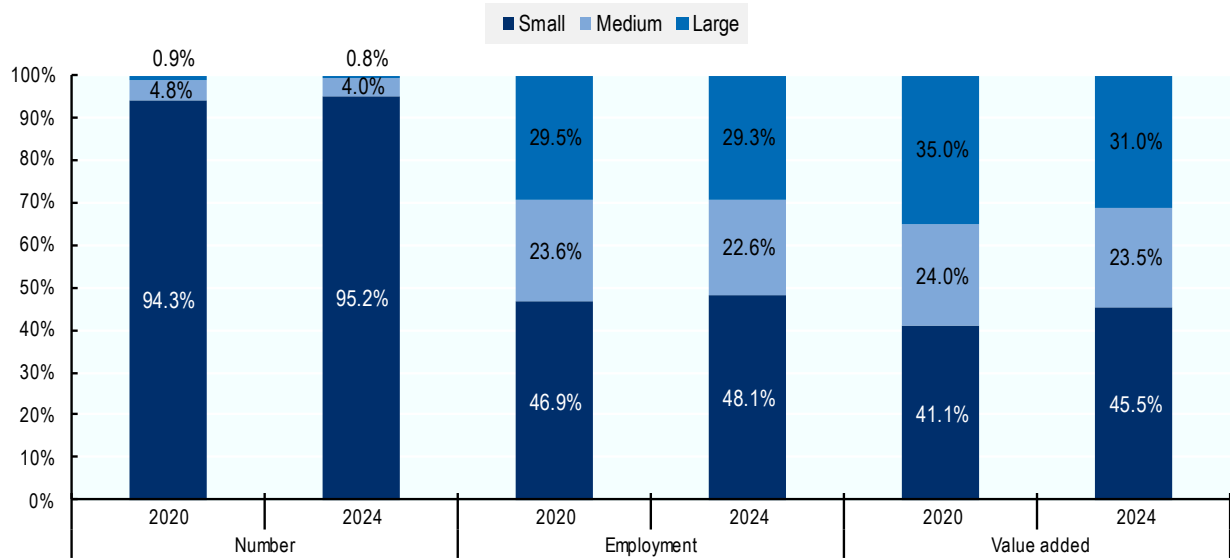


Note: WB6 data refers to the unweighted average of all six Western Balkan economies

Sources: (IMF, 2025^[14]); data for Serbia from (National Bank of Serbia, 2024^[15])

Challenges in accessing external finance are most acute for SMEs, which account for 99.2% of all enterprises in Bosnia and Herzegovina and represent a growing share of economic activity. In 2024, SMEs represented 70.7% of employment in the private sector, reflecting a slight increase since 2020; employment growth was especially pronounced among small enterprises, whose share rose by 1.2 percentage points over the same period. Meanwhile, SMEs also generated 69% of value added by all businesses in 2024, marking a 4-percentage point increase compared to 2020 (Figure 3).

Figure 3. Business demography indicators in Bosnia and Herzegovina (2020, 2024)

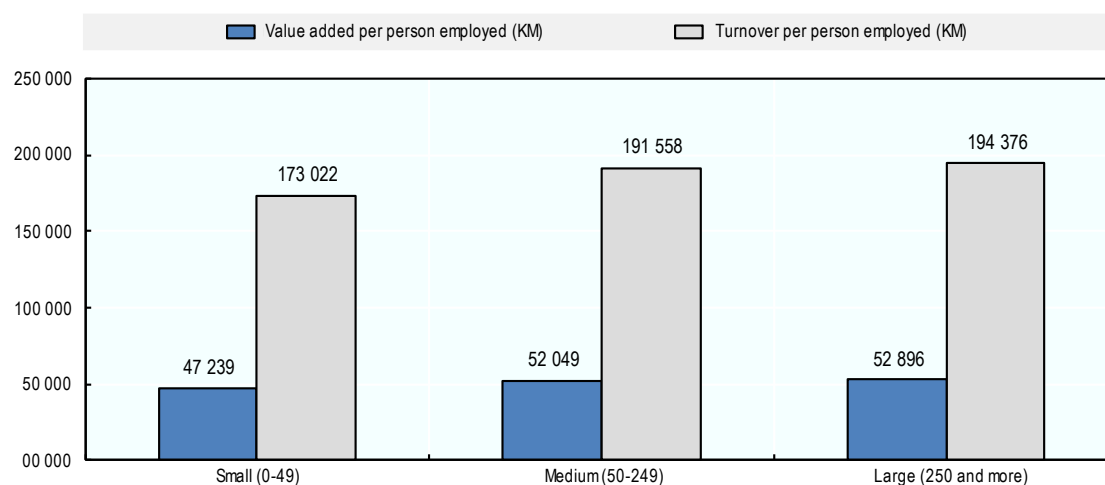


Notes: Data do not include unincorporated enterprises. Value added is calculated at factoring cost. 2024 data are preliminary. Enterprise size classifications follow the EU definition: small enterprises employ fewer than 50 persons, medium-sized enterprises employ 50–249 persons, and large enterprises employ 250 or more persons.

Source: (Agency for Statistics of Bosnia and Herzegovina, 2025_[16]).

Despite their central role in the economy, SMEs exhibit a persistent productivity gap relative to large firms, in line with global trends. Small enterprises generate approximately 12% less value added per employee than larger enterprises (Figure 4). Sectoral data indicate that SMEs are overrepresented in lower value-added activities, while large firms are more prevalent in higher-productivity, capital-intensive industries (Agency for Statistics of Bosnia and Herzegovina, 2025_[16]). For example, 31% of all SMEs in Bosnia and Herzegovina operate in wholesale and retail trade, compared to 23% of large firms.

However, the productivity differential cannot be explained by sectoral composition alone. It also reflects financing constraints, as limited access to long-term capital restricts SMEs' ability to invest in productivity-enhancing assets, including machinery, digital technologies, innovation and workforce upskilling. This, in turn, constrains their capacity to move up the value chain.

Figure 4. Turnover and value added per person employed (BAM) by size of enterprise, 2024

Note: 2024 data are preliminary

Source: (Agency for Statistics of Bosnia and Herzegovina, 2025^[16]).

In the context of integration into the EU Single Market, access to finance constitutes a core competitiveness requirement for SMEs in Bosnia and Herzegovina. Without adequate financing to invest in cleaner technologies, energy efficiency and emissions monitoring systems, export-oriented firms risk reduced price competitiveness under the EU's Carbon Border Adjustment Mechanism (CBAM) and, consequently, potential exclusion from EU supply chains. The economic implications are substantial: the introduction of CBAM is expected to generate losses for businesses in Bosnia and Herzegovina ranging between BAM 722 million and BAM 3.17 billion (EUR 369 million to EUR 1.62 billion) (Spasić, 2025^[17]). These risks reflect the country's carbon-intensive production structure. Per capita CO₂ emissions exceed both the EU and Western Balkan averages by 20% and 43%, respectively, while emissions per unit of GDP are nearly three times higher than the EU average (World Bank, 2025^[18]; OECD, 2025^[19]). Heavy reliance on coal-fired power generation further increases firms' exposure to transition costs, particularly those in energy-intensive manufacturing sectors.

2 Assessing capital market development in Bosnia and Herzegovina

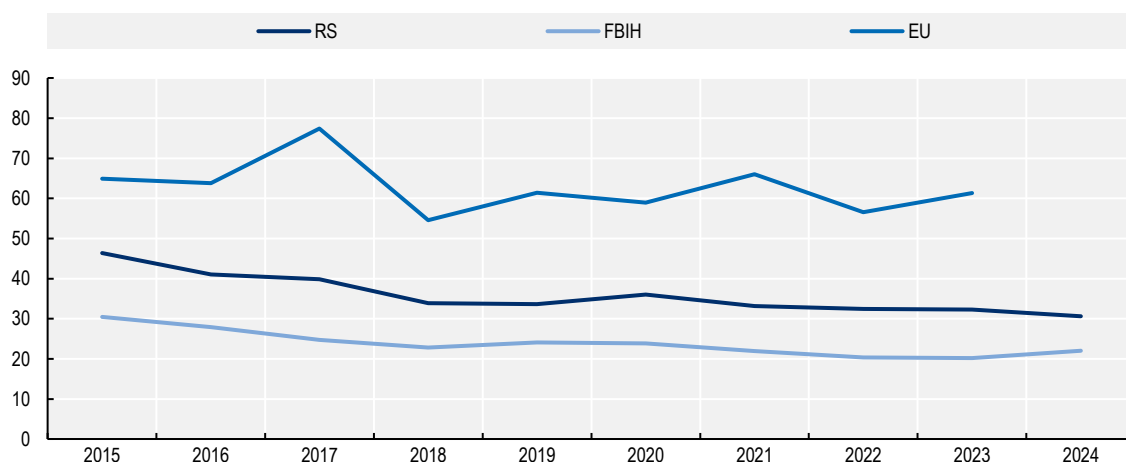
Capital markets in Bosnia and Herzegovina are underdeveloped and fragmented. Despite their potential to diversify financing sources, they currently constitute only a small part of the overall financial system. According to the OECD *Western Balkans Competitiveness Outlook 2024*, shortcomings in legal and institutional frameworks continue to constrain capital market development, leaving the country behind its regional peers (OECD, 2024^[20]). Although basic legal frameworks for both equity and debt markets are in place, alignment with the EU capital market regulations remains incomplete. In addition, targeted support mechanisms, particularly for SMEs seeking to access market-based financing, are limited.

Public equity market

As capital markets fall within the exclusive competence of the entities under the constitutional framework, both entities in Bosnia and Herzegovina operate their own stock exchanges, each characterised by relatively low levels of market capitalisation. The Sarajevo Stock Exchange (SASE) in the Federation (FBiH) and the Banja Luka Stock Exchange (BLSE) in Republika Srpska (RS) were both founded in 2001, with trading officially starting in 2002. In 2024, market capitalisation was estimated at around 22.0% of GDP in the FBiH and 30.6% in RS (Figure 5). This institutional “split marketplace” matters for market capitalisation because it divides an already small pool of issuers and investors, reducing market depth.

Figure 5. Market capitalisation in Bosnia and Herzegovina versus the EU (2015-2024)

Percentage of GDP



Note: To calculate the figures for both the FBiH and RS, each entity's market capitalisation as of December was divided by its respective annual GDP. Sources: (Central Bank of Bosnia and Herzegovina, 2025^[21]; Federal Bureau of Statistics of the Federation of Bosnia and Herzegovina, 2024^[22]; CEIC, 2024^[23]).

The planned establishment of a Brčko District Stock Exchange may deepen further the dispersion of trading activity. In March 2026, the Brčko District adopted a new Law on the Securities Market, advancing plans to create its own exchange, backed by local authorities and a group of U.S. investors. Analysis of the new law suggests that the exchange is conceived less as a conventional securities venue and more as a hybrid financial infrastructure platform, combining securities trading with crypto-asset-related activities.

Given Brčko District's limited issuer base and small investment ecosystem, the model appears unlikely to develop in the near term into a domestically anchored exchange with meaningful local liquidity. Instead, it may be better understood as a trading infrastructure platform, aimed at attracting non-local liquidity, including international investors. Yet, beyond the risk of further dispersing an already limited pool of issuers and investors in Bosnia and Herzegovina, the framework underscores the need for structured co-operation between Brčko District and entity-level authorities – through agreements or other mechanisms that ensure supervisory coherence across BiH's capital markets, in line with the constitutional competences of the respective authorities.

Despite a high number of listings, Bosnia and Herzegovina's capital markets remain shallow, with a shrinking active issuer base. In 2025, there were 565 total listings across both entities' stock exchanges: 191 issuers on SASE and 373 on BLSE (SASE, 2025^[24]; Banja Luka Stock Exchange, n.d.^[25]). While this figure is rather high by regional standards, it overstates the effective depth of both markets. The majority of listings are concentrated in lower-tier segments, designed for smaller or less mature companies and subject to reduced reporting requirements. Meanwhile, the active issuer base has been shrinking over the last decade: in 2025, SASE recorded 20 delistings, more than twice the number of new listings (9), and another 35 companies on SASE were classified within a bankruptcy segment, indicating a high likelihood of eventual delisting.

Only a small proportion of listed companies actively raise growth capital, as the large number of listings primarily reflects the legacy of mass privatisation. In the post-war period, with the support of international financial institutions, many former state-owned enterprises were converted into joint-stock companies, whose shares then became eligible for trading on stock exchanges under government-mandated listing requirements. Listings were often compulsory, driven by privatisation laws or regulatory requirements

linked to capital increases, rather than by a deliberate decision to use equity markets to finance expansion or attract new investors. Consequently, a substantial proportion of these firms do not use capital markets in the conventional sense to raise funds for growth, and their shares are not actively traded.

Public mistrust in the financial sector, particularly among households, also contributes to the low participation in and liquidity of capital markets. As part of the post-war privatisation programmes, citizens received shares in former state-owned enterprises, but many experienced losses or saw little tangible benefit from ownership. This was due to several factors, ranging from bankrupt or mismanaged firms to limited financial literacy and a lack of accessible information. Many citizens were not equipped to trade or value their shares effectively. Privatisation Investment Funds, established to pool vouchers provided to individuals and support capital market development, largely failed to function as effective financial intermediaries (World Bank, 2012^[26]). These weaknesses were further exacerbated by the boom-bust cycle of the mid-2000s, alongside significant allegations and ongoing investigations concerning capital market manipulation in the FBiH (Box 1).

Box 1. Investor confidence in capital markets in Bosnia and Herzegovina

The global financial crisis of 2008 had significant implications for capital markets worldwide, including in Bosnia and Herzegovina. In the years preceding the crisis, both entity-level stock exchanges, which were founded in 2001 with trading officially starting in 2002, experienced rapid expansion. By 2005, market capitalisation had increased sharply, reaching BAM 1.89 billion (EUR 967 million) on the Sarajevo Stock Exchange and BAM 1.20 billion (EUR 613 million) on the Banja Luka Stock Exchange (OECD/EBRD, 2005^[27]).

This expansion proved short-lived. As global financial conditions tightened, stock markets in Bosnia and Herzegovina experienced a sharp decline. The main Sarajevo Stock Exchange index fell from a peak of over 6 000 points in April 2007 to below 900 by March 2009. Trading activity also contracted significantly: total turnover on SASE declined by nearly 63%, from BAM 1.27 billion to BAM 477 million (EUR 650 million to 244 million) between 2007 and 2008 (SASE, 2009^[28]). A similar trend was observed on the Banja Luka Stock Exchange, where turnover dropped from BAM 742 million to BAM 275 million (EUR 379 million to 141 million) over the same period (Banja Luka Stock Exchange, 2009^[29]).

For many households, the consequences were severe. Prior to the downturn, individuals had invested their savings in equities, often with limited understanding of associated risks. Resulting losses led to a sustained decline in trust, discouraging continued participation and limiting the entry of new investors.

At the same time, concerns related to market governance have added to these challenges. In 2020, authorities arrested several individuals connected to the Securities Commission of the FBiH and the supervisory structures of the Sarajevo Stock Exchange, following a long-running investigation into suspected organised crime and money laundering (Ljubas, 2020^[30]). This was followed by indictments issued in 2021 in the so-called “Profit” case, involving allegations of stock market manipulation and falsification of securities trading records. However, publicly available information does not clearly establish the final outcomes or full procedural status of these proceedings.

In the wake of these events, the Securities Commission of FBiH has undertaken efforts since 2021 to restore its credibility and, with it, broader confidence in capital markets. A new Commission was appointed in September 2021, ending a nearly two-year operational standstill. Subsequent steps have included the signing of a co-operation agreement with the Competition Council of Bosnia and Herzegovina in 2024, aimed at improving transparency and efficiency in the enforcement of securities laws.

Note: For market capitalisation in 2005, original figures were given in USD (USD 1.2 billion and USD 760 million, respectively).

Sources: (OECD/EBRD, 2005^[27]; SASE, 2009^[28]; Banja Luka Stock Exchange, 2009^[29]; Ljubas, 2020^[30]); inputs provided by the Securities Commission of the FBiH.

Against this backdrop of weak public trust and limited historical engagement with capital markets, incentives for retail participation remain insufficient. Both entities have largely aligned their incentive structures (Table 2) – for instance, dividends are exempt on listed equities from taxation for domestic individual investors, and no transfer tax on securities transactions are imposed. The principal divergence lies in the treatment of capital gains: the **FBiH** exempts gains on listed securities entirely, while **RS** taxes them as ordinary income at 13%. Despite these incentives, neither entity has introduced a bundled tax-advantaged retail investment account (i.e. the instrument most consistently associated internationally with broadening retail market participation). This gap is particularly notable given that household deposits are reaching record levels, suggesting that the domestic savings pool exists but is not being channelled toward capital market participation.

Table 2. Incentives for retail investment in FBiH and RS

	FBiH	RS
Dividends on listed equities (domestic individuals)	Exempt; 0% withholding	Exempt; 0% withholding
Capital gains on listed securities	Exempt (0%)	No exemption; taxed at 13%
Interest on government securities	Exempt; omitted from the definitions of taxable capital investments	Exempt; applies to all RS and local authority-issued securities
Transfer tax on securities	No tax on the transfer of securities	No tax on transfer of securities
Tax-advantaged retail investment account	No equivalent product exists	No equivalent product exists

Sources: (PwC, 2026^[31]; Government of the Republic of Serbia, 2025^[32]; Mondaq, 2026^[33]); inputs provided by local consultants.

Shortcomings in minority shareholder protection in the FBiH are also a contributing factor to low public equity investment. This is relevant given that almost half of the SOEs held by the FBiH government include private minority shareholders alongside the state, making the quality of these protections directly relevant to investor confidence (OECD, 2024^[20]). A key part of the problem is legislative in nature: the Government Decree on Executing Authorities in Companies with State Capital Share requires company CEOs and board members to prioritise the interests of the state shareholder – even where these conflict with the interests of the company or its other shareholders. In practice, this creates conditions where decisions can be driven by political considerations rather than business performance, leaving minority investors exposed to preferential transactions, opaque dividend practices or the erosion of company assets. Recently, amendments to the Company Law and Law on Public Enterprises in the FBiH have been proposed to strengthen shareholder rights and encourage longer-term investor participation in company management.

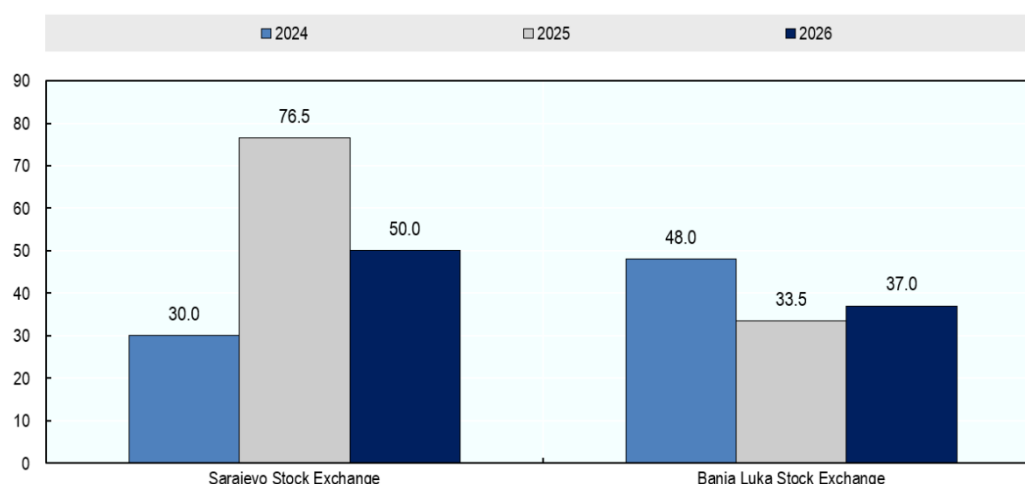
Corporate bond market

The corporate bond market has generally been shallow in both entities, with activity largely confined to the financial sector rather than supporting productive investment. In **RS**, approvals by the Securities Commission indicate visible market activity, with issuance reaching BAM 37 million (EUR 18.9 million) by April 2026 – already exceeding the BAM 33.5 million (EUR 17.1 million) recorded for the entirety of 2025, although still below the BAM 48 million (EUR 24.5 million) observed in 2024 (Figure 6). Despite this activity, the market remains concentrated among a small number of repeat issuers, primarily non-bank financial institutions, and typically involves relatively small deal sizes. For example, in 2025, 17 corporate bonds were issued by just seven entities, with certain issuers dominating: Mikrokreditno društvo “PRO FIN” d.o.o. Istočno Sarajevo alone accounted for six issuances totalling BAM 9.5 million (EUR 4.9 million). In the **FBiH**, issuance patterns differ, with fewer but significantly larger transactions. As of April 2026, only one corporate bond has been issued on the SASE, amounting to BAM 50 million (EUR 25.6 million). While total issuance reached BAM 76.5 million (EUR 39.1 million) in 2025 (up from

BAM 30 million [EUR 15.4 million] in 2024), activity remains sporadic. The offering by the brewery Sarajevo Pivara in 2025, nominally worth BAM 15 million (EUR 7.7 million), represents a notable example of engagement by non-financial corporations (Klix Biznis, 2025^[34]).

Figure 6. Corporate bond issuance on SASE and BLSE (2024-2026)

BAM (millions)



Source: OECD calculations based on publicly available data on approved and completed corporate bond issuances published by the Sarajevo Stock Exchange and the Banja Luka Stock Exchange.

The limited scale and diversity of institutional investors, particularly pension funds, remain a key factor constraining the domestic investor base. Legal frameworks for voluntary pension funds have existed since 2017 in both the FBiH and RS, but the progress has been uneven. The entities' pension systems are predominantly based on a "pay-as-you-go" model, where current contributions finance existing pensions and do not generate significant investable assets. Funded (asset-backed) schemes, which accumulate savings and invest them in financial markets, remain nascent (Omerović, 2025^[35]).

In RS, gradual but tangible progress has been made. The entity's European Voluntary Pension Fund has expanded its membership significantly, growing from approximately 3 000 in 2019 to nearly 38 000 in 2024, and reaching assets of approximately BAM 53 million (EUR 27.1 million) in 2025 (Omerović, 2025^[35]; European Voluntary Pension Fund, 2025^[36]). This growth has been underpinned by a modest fiscal incentive, exempting employer contributions to voluntary pension accounts from social security contributions and income tax up to BAM 1 200 (EUR 610) per year. Participation has also been bolstered by the introduction of an "automatic voluntary opt-out" mechanism in 2019, under which employees are enrolled in the Fund by default rather than having to sign up individually. This approach is currently being scaled through the Government's Pension Plan, which automatically covers all employees whose salaries are paid from the RS budget.

In the FBiH, no voluntary pension fund has yet become operational. A primary barrier is a regulatory contradiction: the entity's Law on Voluntary Pension Funds requires that a majority share of a management company be owned by a commercial bank or insurance company, while banking regulations prohibit commercial banks providing depository services from owning a pension fund. Compounding this, no meaningful tax incentives exist to encourage employer or employee participation. Moreover, recent budgetary reforms, which have fully integrated the pension fund into the FBiH budget, seemingly reflect a shift in political priority toward securing existing benefits rather than developing private pension provision.

No voluntary pension funds exist in the Brčko District. At the end of 2025, the District prepared a letter of intent to the World Bank to join the Pension, Social and Tax Administration Project, with the aim of assessing the feasibility of establishing its own voluntary pension fund. However, at the time of writing, no further updates were available.

High social security contributions, and the resulting lower disposable incomes, also constrain the further development of voluntary pension systems. Mandatory social insurance contributions, including for pension, are high. They stand at 17% of gross salary in the FBiH and Brčko District and 18.5% in RS, compared to an OECD average of 7.2% (PwC, 2026^[37]; OECD, 2025^[38]). Combined with relatively low disposable household income, this leaves limited financial capacity for individuals to invest separately in voluntary schemes.

On the trading side, investor market access remains narrow, with bond transactions in the FBiH restricted to licensed brokers. Conversely, RS has taken steps to broaden access by permitting purchases of its 2025 savings bond issue by ordinary citizens (Box 2). Although limiting transaction to licensed brokers is the norm globally, in smaller markets they can contribute to a narrow base of active intermediaries; in Bosnia and Herzegovina, only four brokers operate on the SASE and five on the BLSE, which can limit market depth and contribute to low trading rates by institutional investors.

Box 2. Reaching retail investors through sovereign savings bonds in RS

Against the backdrop of limited retail participation in capital markets, the Government of Republika Srpska launched its first sovereign retail savings bond programme in 2025, explicitly designed as a financial education initiative to introduce citizens to capital markets. The programme offers accessible entry conditions: a minimum investment of BAM 100 (EUR 51), a fixed annual interest rate of 4.5%, semi-annual interest payments, and a two-year maturity. Crucially, bonds can be purchased not only through licensed brokers but also directly at Pošte Srpske counters, a network of post offices accessible in towns across the entity, significantly lowering the practical barriers to participation.

Recognising that accessibility alone is insufficient, the authorities accompanied the programme with a concerted awareness-raising campaign. This included a promotional leaflet covering why individuals should consider savings bonds, what they need to know, and how to purchase them, alongside a glossary of key financial terms and an educational video walking potential investors through the process. The result has been encouraging: authorities report a notable increase in the number of individuals engaging in the bond market, exceeding initial expectations.

By offering a low-risk, straightforward, and well-explained investment product, the programme has served as a first point of contact with financial markets for many participants, building familiarity with concepts such as fixed-income instruments, interest payments, and investment risk. This kind of hands-on exposure is widely recognised as one of the most effective ways to improve financial literacy and build the confidence needed for broader capital market participation over time.

Source: (Government of the Republic of Serbia, 2025^[39]).

Moreover, regulatory barriers limit issuance activity. The obligation to publish a full prospectus for all bond issues add complexity and cost to the process, posing a particular burden for smaller or private offerings and discouraging issuers – particularly in the FBiH, where exemptions are limited. In RS, the framework provides greater flexibility, with exemptions from the full prospectus requirement available in certain cases, including for smaller issuances, and provision for abbreviated prospectuses in others.¹ Nonetheless, measures to encourage corporate bond issuance, especially for SMEs, are not yet in place (OECD, 2024^[20]).

A final constraining factor for the bond market is the frequent issuance of short-term, budget-driven government securities, particularly in RS. While a liquid sovereign debt benchmark is necessary for the corporate debt market to develop by allowing corporate issuers to price their bonds effectively (OECD, 2023^[40]), government bonds absorb the limited available liquidity and may crowd out corporate bonds by offering a lower risk alternative for investors. Furthermore, the absence of a regular government bond issuance calendar and an official yield curve further reduces market transparency, making it harder for companies to plan their financing activities.

There are early efforts in Bosnia and Herzegovina to leverage bond markets to support enterprises' decarbonisation and resource-efficiency investments. Notably, together with other Western Balkan governments, Bosnia and Herzegovina has recently endorsed Green Bond Standards (Box 3), and there are some early signs of the emergence of a market for green and sustainable bonds. The first green bond in Bosnia and Herzegovina was issued by Naša Banka on the BLSE for BAM 4.2 million (EUR 2.1 million) in 2023 (World Bank, 2024^[41]). More recently, the microloan provider MKD Partner successfully issued its first green bonds worth BAM 1.5 million (EUR 767 000) on the SASE in November 2025, achieving 100% subscription, meaning all bonds offered were fully purchased by investors. The issuer stated that all funds raised would be used to provide microloans aimed at financing measures that achieve energy savings and/or reduce CO₂ emissions (SASE, 2025^[42]).

Box 3. Encouraging sustainable finance: Western Balkans Six Green Bond Standard

According to the OECD *Global Debt Report 2025*, achieving net-zero emissions will require more than USD 4 trillion in annual clean energy investment – yet current public finance and traditional debt instruments fall short of that mark (OECD, 2025^[7]). Robust capital markets can enable the issuance of green and sustainability-linked bonds, attract institutional investors and offer diversified financing instruments aligned with the long maturities of climate-related projects.

Recognising the role of sustainable finance in mobilising capital for the green transition, in 2025, as part of the Berlin Process, the Western Balkan governments endorsed the Green Bond Standard (GBS). The GBS provides a regionally tailored framework that builds on the principles of the EU Green Bond Standard, while taking into account the specific institutional capacities and market conditions of the region's economies.

Specifically, the GBS establishes a voluntary, opt-in framework for the issuance of use-of-proceeds sovereign and corporate green bonds. Both public and private sector issuers choosing to apply the “WB6 Green Bond” designation must comply with uniform regional requirements designed to ensure environmental integrity, transparency in the allocation of proceeds and credible external verification.

To support implementation, the standard includes a transitional list of activities that qualify as “green,” aligned with the five pillars of the Green Agenda for the Western Balkans, reflecting the region's priority sustainability objectives.

Sources: (RCC, 2025^[43]; OECD, 2025^[7]).

Private equity and early-stage financing

Given the public equity market's underdeveloped state, private equity can play a complementary financing role. By providing early- and growth-stage capital, private equity can support firm development to a scale and level of maturity that may eventually enable access to public equity markets, thereby functioning as a pipeline for future listings. Business angel investing has the potential to play a role in the

economy's early-stage financing landscape by helping bridge the gap between initial funding (typically sourced from personal networks or retained earnings) and later-stage VC (USAID, 2024^[44]). This role is particularly important given that few banks offer loans tailored to the needs of start-ups. One survey found that most start-ups in the country seek funding between EUR 100 000 and EUR 1 million – beyond what traditional financial providers might be willing to offer (USAID, 2024^[44]).

The unique context of Bosnia and Herzegovina presents a valuable opportunity to strengthen the private equity ecosystem by tapping into the largely underutilised potential of diaspora financing.

In 2024, over 1.6 million people from Bosnia and Herzegovina were living abroad, representing approximately 34% of the total population (United Nations, 2024^[45]). Efforts to mobilise diaspora financing have included donor initiatives, including the now-discontinued USAID's Diaspora Invest project, which aimed to connect start-ups with diaspora investors, as well as more recent initiatives, namely the launch of the diaspora-backed venture capital fund, Cloud Health EuroVentures, in October 2025 (CH EuroVentures, 2025^[46]). However, these initiatives remain limited in scope, and a more systematic, government-backed approach is lacking.

Angel investing and VC ecosystems are virtually non-existent in Bosnia and Herzegovina. Beyond regulatory constraints, market and institutional gaps continue to hinder the development and availability of these financing instruments. Angel investing has yet to gain meaningful momentum, with earlier efforts to establish active investor groups in 2010 and 2014 failing to sustain activity or generate notable investment. Similarly, the VC ecosystem is still in its nascent stages. Available data show extremely low levels of VC investment, amounting to just EUR 2.6 million in 2024, significantly below levels observed in peer economies such as Bulgaria (EUR 56.8 million) and Croatia (EUR 115.3 million), and no investments recorded in 2025 (Dealroom, 2026^[47]).

One of the barriers to the development of private equity in Bosnia and Herzegovina is the absence of a robust and cohesive regulatory framework. At the entity level, private equity is governed by a patchwork of different laws, which creates inconsistencies and legal uncertainty for investors. There is moreover an absence of clear legal definitions tailored to the specific features of private equity. In the **FBiH**, equity financing falls under the Law on Investment Funds, which does not explicitly cover VC or angel investing. The entity has not yet adopted legislation on alternative investment funds (AIFs) nor amended existing laws to accommodate private equity instruments. In contrast, **RS** has made good progress in reforming its regulatory environment. In 2022, the entity amended its Law on Investment Funds to allow for the creation of AIFs. The reform introduced a dedicated legal framework for AIFs, including VC funds, enabling more flexible capital allocation and aiming to attract a broader and more diverse investor base. Yet, despite this advancement, full alignment with EU regulations, namely the Alternative Investment Fund Managers Directive (AIFMD), has yet to be achieved.

Building on this reform, the RS's first AIF was established in May 2024, following approval granted to the fund management company Management Solutions. As of April 2026, the market has expanded to three licensed AIFs: two managed by Management Solutions and one managed by FS Capital, a fund management company established in November 2024 and specialising exclusively in alternative investments. Among these AIFs, investment activity appears to be concentrated in debt instruments, primarily financing SMEs and entrepreneurs, rather than in equity, thereby limiting its role in supporting high-growth firms.

3

The way forward: Priorities for capital market development in Bosnia and Herzegovina

The discussions held during the meetings organised under the EU for Private Sector Development initiative, which took place in Bosnia and Herzegovina from 10 to 12 March 2026, highlighted several priority areas where targeted policy action could support the development of local capital markets.

The recommendations outlined below are not intended to be exhaustive. A comprehensive assessment of capital market development would require more in-depth analysis and a broader review process. Nevertheless, the recommendations reflect recurring themes identified across stakeholder exchanges and point to key areas where progress could meaningfully strengthen the capital markets' development and businesses' access to finance, encompassing both short- and longer-term policy actions:

The public equity and corporate bond markets

- **Improve alignment of existing stock exchange frameworks with EU standards to enhance interoperability.** Although both stock exchanges operate under similar legal principles, differences remain in operational and regulatory practices, resulting in divergent transparency and disclosure standards for investors and issuers. Moreover, there is no formal mechanism for cross-listing or interoperable trading. Liquidity thus remains fragmented, and investors cannot easily execute trades in the same security across venues. The planned establishment of a third exchange in the Brčko District is likely to further complicate the situation.

Multiple stock exchanges are, however, not inherently problematic: for example, several EU countries, including Germany and Spain, operate multiple exchanges. However, these markets are generally interoperable and function within a harmonised regulatory framework (Box 4). In the case of Bosnia and Herzegovina, structured co-operation agreements between stock exchanges and their respective supervisory authorities, developed within the bounds of each authority's constitutional competences, can facilitate interoperability and improve market functioning for investors and issuers alike.

Box 4. Integrated stock exchange infrastructure in Spain

The Spanish domestic capital market operates on a highly integrated infrastructure that reduces fragmentation between regional exchanges. In Spain, the four major stock exchanges (Madrid, Barcelona, Bilbao and Valencia) are connected through a single electronic trading platform (SIBE)

operated by Bolsas y Mercados Españoles (BME), allowing them to function as a unified market rather than separate venues and facilitating access to liquidity and price discovery across all segments of the market.

- Main regulated market for large, listed companies
- Specific market segments for SMEs and high-growth firms with simpler listing requirements
- Multilateral trading facilities (MTFs) offering alternative trading venues
- Centralised clearing and settlement via Iberclear and BME Clearing
- Compliance with EU regulations (MiFID II/MiFIR) supporting transparency and cross-border integration

This integrated structure helps address some of the challenges that fragmented systems face, such as low trading volumes and barriers for issuers, and supports more seamless conditions for investment and trading within the national market.

Source: (OECD, 2024^[48])

- **Establish structured advisory and capacity building services, to support businesses in accessing capital markets.** Businesses, particularly SMEs, face challenges, as they are often unfamiliar with the range of financing options available beyond traditional bank loans, and alternatives such as capital market instruments are not well understood. While the Sarajevo Stock Exchange currently offers support to potential issuers, including one-on-one consultations for companies interested in issuing corporate bonds or equity, these efforts remain limited in scale. Expanding such services into a more formalised and co-ordinated support ecosystem could significantly improve firms' readiness to access market-based financing. This could include tailored advisory programmes covering financial structuring and disclosure requirements, as well as practical guidance throughout the issuance process.
- **Simplify corporate bond issuance procedures, particularly for SMEs and smaller issues.** Current procedural and regulatory requirements can limit the attractiveness of corporate bond issuance, particularly for smaller companies for whom compliance costs weigh most heavily. Targeted reforms in both entities could meaningfully expand the use of corporate bonds as a financing tool and broaden participation in the market.
 - **Increase the threshold for simplified prospectus requirements for corporate bond issuances in the FBiH.** Currently, simplified prospectus requirements apply only to very small issuances of less than BAM 50 000 (EUR 25 576). Raising the threshold would reduce administrative and compliance costs associated with bond issuance, encouraging more SMEs to raise funds through the bond market. At the same time, it would allow companies to raise funds at a scale better aligned with business development needs.
 - **Introduce greater flexibility in issuance conditions in both entities.** Bond issuances are often subject to minimum subscription requirements (e.g. around 60% of the planned issue in FBiH) for an offering to be considered successful. If this threshold is not met, issuers may need to cancel or relaunch the issuance or adjust key terms, such as interest rates or maturity. Relaxing such thresholds in certain cases, such as for SMEs with smaller issuances, would give issuers greater flexibility to determine what constitutes a successful placement and reduce the risk of repeated issuances or adverse market signalling. This could encourage more companies – particularly SMEs, which may face limited initial demand – to test the market and raise funds without being constrained by rigid issuance conditions.

Institutional investors

- **Introduce (FBiH) and strengthen (RS) tax incentives for voluntary pension funds.** Given significant variation in the maturity of voluntary pension frameworks across the two entities, targeted action is needed:
 - **Resolve regulatory barriers in the FBiH** that have prevented any voluntary pension fund from becoming operational, most critically by addressing the incompatibility between ownership requirements for pension fund management companies and banking regulations;
 - **Introduce fiscal incentives in the FBiH** for both employers and employees to participate in voluntary schemes, drawing on tools used in countries such as the Netherlands (Box 5);
 - **Review the adequacy of existing provisions in RS**, including consideration of raising the current BAM 1 200 (EUR 610) annual employer contribution exemption threshold and broadening auto-enrolment participation beyond the public sector; and
 - **Pursue convergence of pension tax frameworks across entities**, recognising that the FBiH's more complex institutional architecture (involving cantonal institutions and federal parliamentary procedure) may slow the pace of reform relative to RS. However, even incremental convergence would reduce cross-entity distortions and better support capital market development at the level of Bosnia and Herzegovina.

Box 5. Fiscal incentives for institutional investors in the Netherlands

A common practice across OECD member states is to provide favourable tax treatment to pension funds to support long-term investment. One widely used approach is the “Exempt-Exempt-Taxed” (EET) model, which allows capital to accumulate efficiently and enables pension funds to play a central role in financial markets.

The Netherlands provides a clear example of such a system. Both its voluntary (private) and occupational pension funds operate under an EET model, which in turn has contributed to the emergence of pension funds as major institutional investors, supporting the depth and liquidity of capital markets. This system has enabled substantial asset accumulation, with pension fund holdings exceeding 150% of GDP (OECD, 2025^[38]).

Key features in the Dutch system include:

- Contributions to pension funds, including voluntary schemes, are tax-deductible, encouraging participation and long-term savings;
- Investment income at the fund level (interest, dividends, capital gains) is fully exempt from corporate income tax, allowing returns to accumulate without erosion;
- Pension benefits are taxed upon withdrawal, ensuring deferred rather than double taxation.

Moreover, the ongoing transition from a defined benefit to a defined contribution system, formalised under the Future of Pensions Act, aims to link pension outcomes more closely to investment performance. Pension funds are required to comply with the new framework by 1 January 2028. As pension payments will depend on how much is invested, instead of a fixed payout, this is expected to encourage more diversified and higher-return investment strategies, including greater participation in capital markets.

Sources: (OECD, 2025^[49]; OECD, 2025^[38]).

Households as investors

- **Continue efforts to restore investor confidence in capital markets.** Rebuilding public trust in these markets requires sustained institutional effort across both entities, going beyond the restoration of normal regulatory operations. This includes strengthening transparency and enforcement capacity, expanding co-operation with peer regulators at the regional and EU level, and ensuring the independence of regulatory bodies from political interference. Over time, consistent and credible regulatory conduct across both entities will be essential for attracting new issuers and investors and for deepening participation in capital markets more broadly.
- **Build on existing incentive structures to stimulate retail investment in capital markets.** Although some incentives are already in place, scope remains to deepen and extend these frameworks and to ensure households are aware of and able to benefit from them:
 - **Introduce tax-advantaged investment accounts** that bundle existing exemptions into a single, accessible retail product, as well as exemption thresholds that fully shield small and first-time investors from residual investment income taxation. International experience demonstrates that simplified, transparent models of this kind, such as Sweden's Investment Savings Account (OECD, 2025^[50]), can significantly encourage broader retail participation.
 - **Improve awareness of existing incentives** by publishing a plain-language guide to investment tax treatment, disseminated through tax authorities, securities regulators and financial intermediaries, complemented by requirements on brokers and fund distributors to communicate applicable exemptions at the point of sale.
- **Expand opportunities to improve financial literacy among citizens.** Many individuals in Bosnia and Herzegovina lack understanding of basic financial concepts, such as compound returns and diversification (Halilovic et al., 2019^[51]). As a result, a large share of their assets is held in bank deposits, losing value over time when inflation exceeds interest earnings. Tailored initiatives can be developed to help individuals develop a clearer understanding of financial concepts related to capital markets, along with the options of investments available to them.
 - **Develop and scale sovereign retail debt programmes as an accessible entry point to capital markets.** Such programmes provide retail investors with practical exposure to bonds, investment risk, and portfolio diversification, helping to build financial literacy and broaden participation in capital markets. RS has already taken a step in this direction through its 2025 savings bond issue but could deepen and expand this programme further. FBiH could draw on this experience – as well as on international good practice, such as Slovenia's retail debt programme (Box 6) – to establish a comparable initiative, widening the retail investor base across both entities.

Box 6. Retail bond programme in Slovenia

Following the severe floods and landslides that affected Slovenia in 2023, with reconstruction costs estimated at around EUR 7 billion, the government faced increased financing needs. Against this backdrop, and within the broader context of prolonged capital market weakening since the 2008 financial crisis, the government introduced a retail bond programme under its Capital Market Development Strategy 2023-2030.

The first issuance took place in February 2024, when three-year bonds were offered to domestic retail investors. Demand was strong, with 5 660 new trading accounts opened, suggesting that many first-time retail investors entered the capital market, and over EUR 258 million raised. Building on this success, a second issuance followed in March 2025, with a third launched in March 2026.

The bonds are accessible with a minimum investment of EUR 1 000. Interest income up to EUR 1 000 per year is tax-exempt, while amounts above this threshold are taxed at 25%, in line with the treatment of bank deposit interest. Following issuance, the bonds are listed on the Ljubljana Stock Exchange, allowing them to be freely traded.

For Bosnia and Herzegovina, which has a bank-dominated financial system, Slovenia's experience illustrates how retail bond programmes can help attract new investors and increase participation in capital markets, thereby supporting the gradual development of domestic markets over time.

Sources: (OECD, 2025^[7]; Ministry of Finance of Slovenia, 2025^[52]; EBRD, 2023^[53]).

The private equity market

- **Continue supporting the innovation ecosystem to provide high quality start-ups and attracting private equity, venture capital and angel investment.**
 - **Introduce definitions for key terms and align with international definitions the legal frameworks for alternative financial instruments.** A constraint across both entities is the absence of clear legal definitions tailored to the specific features of private equity. Clear legal definitions for key terms like “startups” and “angel investing” would provide greater clarity for both business owners and investors, potentially enabling the development of a more vibrant angel investment sector. Both entities and Brčko District could consider amending their existing Laws on Companies to include these definitions. Additionally, the competent ministries or agencies across all levels of government should co-ordinate to ensure consistency in these definitions.
 - **Develop financial incentives and targeted measures to encourage angel investment.** Direct government co-financing of private business angel networks is generally not preferred, as it can risk market distortion and requires specialised expertise. Instead, experience suggests that market-compatible incentives, such as tax measures or well-designed grant schemes targeting individual investors (Box 7), can be effective in stimulating angel investment, particularly among less experienced investors (Denes et al., 2020^[54]).
 - **Partner with donors and international partners to develop targeted private equity programmes for early-stage financing.** In tandem with improving the legal and regulatory framework, collaboration with partners can also help to address the gap in early-stage financing, by providing financial resources, technical assistance and expertise to support the development of both angel investing and venture capital ecosystems.

Box 7. Financial incentives to stimulate angel investment: Germany's INVEST programme

To address financing gaps faced by young, innovative firms, the Federal Ministry for Economic Affairs and Climate Action launched the INVEST programme, designed to connect private investors, particularly business angels, with early-stage companies and encourage the provision of venture capital.

The programme combines two complementary financial incentives designed to reduce the risks associated with early-stage equity investment while improving potential returns. First, an acquisition grant provides a non-repayable, tax-free subsidy covering 15% of the equity investment, for investments ranging from EUR 10 000 to EUR 333 333. Second, an exit grant offers a lump-sum refund of capital

gains tax, amounting to 25% of the profit earned from the sale of shares acquired under the programme, subject to a minimum capital gain threshold and capped at the level of the initial acquisition grant.

Empirical evidence points to the effectiveness of this approach. The programme has successfully attracted new participants into the risk financing market, with first-time investors accounting for more than half of grant recipients. At the same time, supported firms have demonstrated strong performance, with investments associated with significant increases in employment and sales growth (19% and 76%, respectively). In addition, each euro of public support has leveraged further private capital, with more than one euro of private investment mobilised per euro of subsidy.

Overall, Germany's INVEST programme illustrates how well-designed financial incentives can expand the investor base, mobilise private capital and support the scaling of innovative firms, provided that such measures are carefully calibrated to complement, rather than crowd out, market-based financing.

Sources: (German Federal Ministry for Economic Affairs and Climate Action, n.d.^[55]; Berger and Gottschalk, 2025^[56]).

The corporate sector

- **Address governance and ownership barriers in family-owned firms.** In Bosnia and Herzegovina, many businesses are family-owned and retain both ownership and management across generations. This can create governance challenges, as concentrated ownership structures may lead to a reluctance to dilute control. Survey evidence points to a general aversion to shared ownership among entrepreneurs (Kozarević and Amra, 2016^[57]). While this model can ensure stability, it may also result in inefficiencies, including resistance to professional management, slower decision making, and underutilisation of external equity capital. Encouraging a separation of ownership and management, for example through dual-class share structures (Box 8) or professional management boards, could facilitate greater openness to external investment and support broader capital market development, while still allowing families to maintain long-term strategic control.

Box 8. Family firms and dual-class shares

In Bosnia and Herzegovina, with many long-established family businesses that are reluctant to invite outside shareholders, traditional equity issuance can be unattractive if it risks ceding control. Dual-class or non-voting share classes can be a useful compromise: they allow families to maintain strategic decision making while enabling external investors to participate financially. Such structures can include shares with preferential dividend rights but restricted voting power, contributing to greater access to capital markets and help firms grow beyond closed-family ownership.

The G20/OECD Principles of Corporate Governance recognise that companies may issue shares with different rights attached, including limited-voting or non-voting shares, so long as shareholders are treated equitably within each class and informed about the rights they are acquiring. This flexibility can support capital formation while preserving investor protection.

Sources: (OECD, 2025^[58]; OECD, 2023^[59]).

Further reading

The following are OECD reports with details on the global context of capital markets and their full-fledged reviews and assessments of capital markets of both the OECD and non-OECD countries:

- [Global Debt Report 2026: Sustaining Debt Market Resilience Under Growing Pressure](#)
- [Supporting emerging markets and developing economies in developing their local capital markets](#)
- [OECD Capital Market Reviews](#)

The following provide context, analysis and recommendations specific to Bosnia and Herzegovina's access to finance:

- [Assessing Bosnia and Herzegovina's Reform Agenda for Private Sector Development](#)
- [Western Balkans Competitiveness Outlook 2024](#)
 - [OECD: Western Balkans Competitiveness Data Hub](#)
- [SME Policy Index for Western Balkans and Türkiye 2026: Regional Profile](#)
 - [OECD: SME Policy Index Data Hub](#)

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Note

¹ Under Article 60 of the Law on the Capital Market of RS, as amended in 2021, several categories of public offers may be carried out without the obligation to publish a prospectus. These include offers addressed exclusively to qualified investors, offers to a limited number of investors (up to ten non-qualified investors), offers where each investor subscribes for a minimum of BAM 100 000 (EUR 51 150), offers of securities with a nominal value of at least BAM 100 000 (EUR 51 150) per unit, and offers with a total value below BAM 1 000 000 (EUR 511 520) within a twelve-month period. In such cases, issuers remain obliged to provide adequate information to investors, with the scope and content prescribed by the Rulebook on the Issuance of Securities of the Securities Commission of the RS.